MACROECONOMICS

MACRO-29

Time: 5 minutes

Outcome: Trace monetary policy through interest rates, investment, aggregate demand, and output.

Difficulty: Intermediate

Monetary-Policy Transmission

THE CORE IDEA

Monetary policy affects output by changing reserves and short-term interest rates, which influence investment, interest-sensitive consumption, and aggregate demand. Expansionary policy increases reserves and tends to lower interest rates, encouraging spending and shifting aggregate demand right. Contractionary policy works in the opposite direction. The strength of the transmission depends on bank lending, borrower response, and spending sensitivity to interest rates.

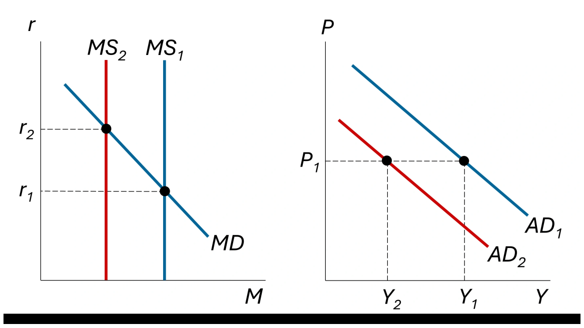
HOW TO RECOGNIZE IT

- Begin with the central bank's change in reserves or the money supply.
- Trace the resulting change in short-term interest rates.
- Connect interest rates to interest-sensitive spending, especially investment and durable consumption.
- The spending change shifts aggregate demand and affects output and the price level in the short run.

WATCH OUT

The graph identifies the direction of the monetary-policy effect, not its size. A multiplier calculation also needs an initial spending change and assumptions about induced consumption and other offsets.

WORKED EXAMPLE: TRACING MONETARY TRANSMISSION



In the money-market panel, contraction from MS1 to MS2 raises the interest rate from r1 to r2. Higher borrowing costs reduce interest-sensitive spending, so aggregate demand shifts from AD1 to AD2. At price level P1, real output demanded falls from Y1 to Y2. The panels display the complete monetary-policy transmission chain.

CHECK YOURSELF

A student writes only “the central bank increases money supply, so aggregate demand rises.” Which missing links are essential to the standard short-run transmission mechanism?

READY? Return to the game and master this concept.